

President Barack Obama, and served as the 71st United States Secretary of the Treasury. His name was floated last decade as a potential Federal Reserve Chairman.

We dodged a bullet in his not getting appointed to that role.

The CARES Act was the US federal government's response to the Covid-19 pandemic. At 10% of Gross Domestic Product (GDP), it was the largest fiscal stimulus since World War Two. That massive fiscal spend, combined with snarled supply chains and a consumer shift from services to goods, sent inflation spiking up 9%. (Complex systems like the economy are rarely driven by just one or two factors. As inflation was rising, I detailed 15 factors that were to blame—and even that list was likely incomplete.³⁸) You might believe that if anyone would know how to wrestle fast-rising prices into submission, it would be Summers.

You'd be wrong.

Here is the former Treasury Secretary in June of 2022:

We need five years of unemployment above 5% to contain inflation—in other words, we need two years of 7.5% unemployment or five years of 6% unemployment or one year of 10% unemployment (to bring inflation down).³⁹

That bold pronouncement was picked by nearly every media outlet in the country. After all, he was an expert on such things.

Or was he?

As Summers was opining as to why we need to *triple the unemployment rate to beat rising prices*, inflation had already peaked. From the moment he uttered the words “10% unemployment,” CPI did nothing but head lower. It collapsed from 9% year over year to 3% over the next 24 months. As this was happening, the exact opposite of what Summers prescribed was also occurring: Unemployment fell to 3.5%, the lowest rate in 60 years. It stayed under 4% that entire two-year period of disinflation. As of this